European NPL Disposal Pipeline Monitor

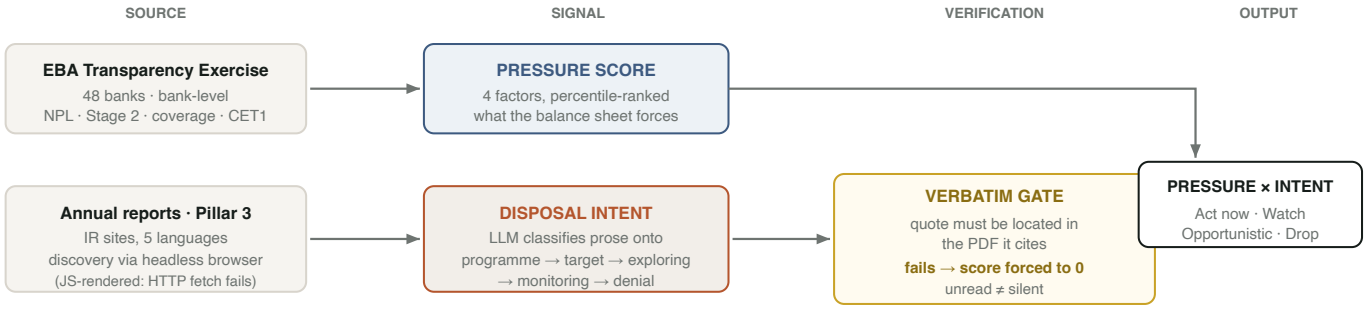
Which European banks are most likely to bring loan portfolios to market — and why · Italy · Spain · Germany · France

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EBA Transparency Exercise 2025-Q2

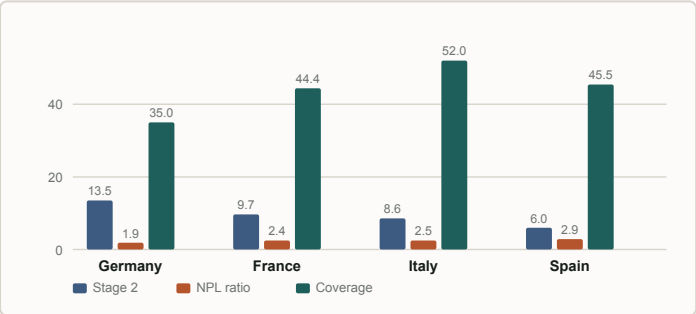
Origination is a sourcing problem before it is an analysis problem. By the time a portfolio is in market, the price is competed. The useful question is which banks are being pushed toward a sale *before* they run a process — and that question has two halves. What the balance sheet **forces** management to confront is computable from regulatory data. What management **intends** is not: it sits in annual reports and strategic plans, in five languages, and nobody reads it across fifty banks by hand. This tool does both, and crosses them.

BANKS SCREENED	NPL STOCK IN SCOPE	PRIORITY NAMES	VERIFIED QUOTES
48	**€278bn**	**15**	**4**
loan book ≥ €10bn	gross carrying amount	pressure ≥ 65	located in source PDF

HOW IT WORKS



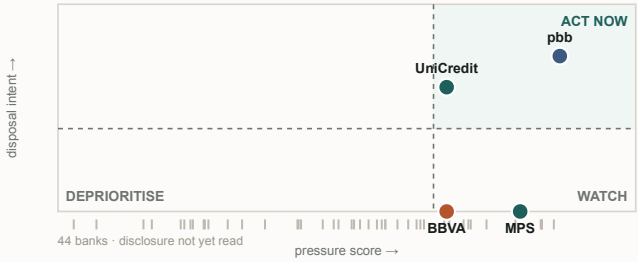
THE FINDING — THE GEOGRAPHY HAS ROTATED



Germany carries the largest forward pipeline and the thinnest cover. Stage 2 loans are performing today but have seen a significant increase in credit risk — they are where next year's NPLs come from, and most screens ignore them because they sit outside the NPL ratio. Germany shows the *cleanest* headline NPL ratio (1.9%) alongside the *highest* Stage 2 share (13.5%) and *lowest* coverage (35%). Italy — the market most associated with NPL supply — is now the best reserved at 52%.

The two markets are simply in different states: Italian banks are **transaction-ready** and sell near carrying value, so the edge is price discipline. German banks are **accumulating risk they have not reserved against**, so the edge is being in the relationship before the process starts.

THE OUTPUT — PRESSURE × INTENT



Same pressure, different call. UniCredit and BBVA both score 67 on reported data — indistinguishable. The disclosure layer separates them: UniCredit's NPE Strategy names disposal targets (`Act now`); BBVA's verified passage is NPL-ratio commentary with no intent, so the model returned `none` (Watch).

Deutsche Pfandbriefbank ranks #1 on pressure and carries verified near-term intent — the one name where both signals agree.

WHY THE AI OUTPUT CAN BE TRUSTED

The first question anyone asks about LLM output is *how do you know it didn't make that up.* So a quote earns its place by being **located in the PDF it cites** — mechanically, reproducibly — not by anyone asserting they checked. The gate was tested adversarially before being trusted:

INPUT	RESULT
Untouched harvested quote	PASS
Plausible sentence never in the document	REJECT
Real quote, one word silently altered	REJECT
Real quote, wrong page claimed	PASS, page fixed

Row three is the one that matters — a model subtly rewording a quote while keeping it believable is the realistic failure mode. Anything unverified has its score forced to zero, and the bank is reported as **intent unconfirmed**, never as silent. Absence of data is not evidence of absence.

What a live signal looks like. The highest-pressure bank in the screen, found by the pipeline in its own Annual Report:

> "pbb decided to completely discontinue its US business and intends to **reduce, securitise or sell** its portfolio there… pbb completed a **significant risk transfer (SRT)** on a synthetic basis in December 2025 with several funds managed by Oaktree Capital Management, L.P."
>
> Deutsche Pfandbriefbank, Annual Report 2025, p.117 — located in source

Classified `target`, near-term horizon. An executed SRT with a credit fund already in the seat.

The more useful result is BBVA. Its quote is verified — genuinely in the 2025 Annual Report — and the classifier still returned `none`, because the passage discusses an NPL ratio moving, not an intention to sell. The pipeline found real text and declined to manufacture a signal from it. A screen that only ever finds signal is not a screen.

Stack · Python · EBA Transparency Exercise (bank-level regulatory filings) · DeepSeek `deepseek-chat` for classification · headless Chrome for document discovery · Jupyter + Plotly

Interactive dashboard & full source on GitHub